

Multiple Choice

1. **Answer:** B

Options: A) \$30; B) \$3,000; C) \$12,000; D) \$1,200

Note: Correct option: B - \$3,000

2. **Answer:** C

Options: A) perfectly vertical in the long run.; B) perfectly horizontal in the short run.; C) more elastic in the long run.; D) more elastic in the short run.

Note: Correct option: C - more elastic in the long run.

3. **Answer:** C

Options: A) Spending on education and training; B) Increases in capital; C) Increases in the interest rate; D) Expenditures on research and development

Note: Correct option: C - Increases in the interest rate

4. **Answer:** D

Options: A) production within a nation's borders.; B) production by a nation's citizens wherever they may be.; C) income earned by the factors of production plus depreciation and indirect business taxes.; D) (A) and (C)

Note: Correct option: D - (A) and (C)

5. **Answer:** D

Options: A) Required reserves; B) Excess reserves; C) Loans; D) Deposits

Note: Correct option: D - Deposits

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The nation invests in research and development of new technology.'

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'dumping.'

8. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

9. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** A superstar basketball player's \$50 million earnings.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** If inflation is high in the EU and the price level in the United States is stable the value of the dollar appreciates.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key